Trent Ltd

Q3FY21 Result Update | Retail

Strong Recovery with return to profitability

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

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Trent Q3FY21 Standalone results were better than expectations with 83% recovery and PBT (excluding O. Income) recorded 9% growth

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	727	6

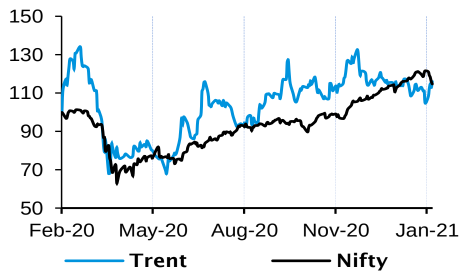
Market data		
Current price	**Rs**	**687**
Market Cap (Rs.Bn)	(Rs Bn)	245
Market Cap (US$ Mn)	(US$ Mn)	3362
Face Value	Rs	1
52 Weeks High/Low	Rs	809/368
Average Daily Volume	('000)	441
BSE Code		500251
Bloomberg		TRENT:IN

Source: Bloomberg

Important Key Takeaways

- **Revenue recovery in Westside**: stood at 78% for Q3FY21 (Like for Like was negative 26%) with sequential improvement in January 2021. For the month of January *(EOSS month)*, traction for full price merchandise was equal on a YoY on a basis in both quantity and value terms
- **Provisioning for Raw Mat**: taken in Q1FY21 have been evaluated and reset with an impact of Rs. 140mn in Q3FY21. Total Provisioning taken was over Rs. 400mn in Q1FY21.
- **Online Channel**: grew by 80% YoY / contribution to Revenue is in single digits
- **Store Openings, YTD**: (i) Zudio: 20, total stands at 101 (ii) Westside: 6, total stands at 169 Landmark: 2
- **Funds utilized**: Rs. 8686.1mn out of Rs. 9499.9mn previously raised

One Year Performance



Source: Bloomberg

Financials

- **Revenue:** de-grew by 16.6% YoY to Rs 7254.02mn
- **EBIDTA *grew*** by 3.7% YoY to Rs 1799.9mn / EBIDTA Margins 24.8% v/s 20% YoY (mainly aided by lower RM to Revenue)
- **PBT** excluding Other Income grew by 9.3% YoY to Rs 616.23mn
- **PAT** grew by 43% to Rs. 796.6mn

% Shareholding	Dec-20	Sep-20
Promoters	37.01	37.01
Public	62.99	62.99
Others	0.00	0.00
Total	**100**	**100**

Source: BSE

Financial Summary Standlone

Y/E Mar (Rs mn)	FY19	FY20	FY21e	FY22e	FY23e
Net sales	25,317	31,777	21,683	41,594	49,897
% Growth	23	25.5	(31.8)	91.8	20.0
EBIDTA	2,365	5,632	3,278	8,630	10,843
Margins	9	18	15	21	22
PAT	1,277.9	1,546.0	(425.2)	3,227.5	4,362.7
growth (%)	9	21.0	(127.5)	(859.0)	35.2
EPS	3.8	4.3	(1.2)	9.1	12.3
P/E (x)	178.4	157.7	(573.5)	75.6	55.9
P/B (x)	13.4	9.8	10.1	9.1	8.0
EV/EBITDA (x)	97.8	43.8	73.6	28.1	22.2
ROCE (%)	9.1	11.9	3.2	21.4	24.7
RoE (%)	7.5	6.2	(1.8)	12.1	14.3

Source: Dalal and Broacha

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Other Details

- **Raw Material (**reported) as % to Revenue stood at 43.6% v/s 49.4% YoY and 59.1% QoQ
- Employee Cost decreased by 15% YoY to Rs 685.4mn
- Other Expenses as % to Revenue was 22.1% v/s 21.4%% YoY and 26.8%% QoQ
- Other Income de-grew by 38% YoY to Rs 236.87mn *(excluding rent concession of Rs. 188.28mn in the current quarter)* ***Rent Concession YTD stood at Rs 770mn***
- **PBT:** grew by 10% to Rs. 1041.9mn (adverse impact of IND-AS 116 in Q3FY21 is Rs 140mn)
- Tax rate stood at 23.5% v/s 41.1% YoY and 34.4% QoQ

Excluding impact of Provision Written back RM as % to Revenue was 45.6%

Consolidated Results

- **Revenue:** de-grew by 14% YoY to Rs 8536.26mn (including Booker India from Sept-2019)
- **EBIDTA** grew by 2% to Rs. 1714.9mn/ Margins stood at 20.1% v/s 17% YoY
- **PBT** (**excluding Sh of Associates and JV)** grew by 5% to Rs 867.66mn
- **Share of loss of JV and Associates** stood at Rs 29.37mn v/s Rs 114.99mn YoY and loss of Rs. 162.24mn QoQ
- **PBT** reported stood at Rs 897mn -4% YoY (impact of IND AS 116 was Rs 110mn)
- **Owners PAT** grew by 37% YoY to Rs. 739mn and loss of Rs. 715.95mn QoQ

Sale of Booker India grew by ~8.1% YoY and declined 4% QoQ to Rs. 1282.24mn (Consolidated – Standalone)

Consolidated PBT (Pre-Ind-AS 116) stands at Rs. 1000mn

Trent Management Interaction post Q3FY21 Results

Overall demand and sentiment remain positive. Consumers spends on small ticket-size discretionary items such as apparels continues to be robust.

- **Footfalls** even though have come off a bit, as against the festive season; trajectory remains upwards.
- **Gross margins** improvement led by the following factors:
  a) 2% GST concession removal from Q1FY21 (we observed from actual visit to stores)
  b) Provision write-back of Rs 140mn and no additional provision required because of very strong sales in Q3FY21. *Going forward this would normalize*
- **Inventory:** still not back to Pre-Covid levels as the management wants to play safe looking how the covid situation pans out; at the same time keep vendors booked for a continuous business rather a lumpy one.
- **Fashion Stores:** Opened 20 Zudio's || 6 Westside (closed 2) || **~50 stores under fitout stage between Westside and Zudio**
  (Non-Mall_ stores in case of Westside is ~50%, in case of Zudio is ~80%)
- **Other Expenses** some savings which does not hamper growth will continue (did not quantify)
- **Star-bazaar**
  Business post pandemic is normalized especially in grocery || 59 stores as on date || levers important for margins such as better merchandise, more private labels are being worked up-on.
- **Zara**
  all stores are operational || no additional commentary

Aggression in Store Expansion continues ~50 stores under fitout stage between Westside and Zudio.

Quarterly Financials

Standalone Particulars (Rs Mns)					
Particulars Rs Mns	Q3FY21	Q3FY20	*Growth YoY (%)*	Q2FY21	*Growth YoY (%)*
Net Sales	7254.0	8697.0	(16.6)	4521.2	60.4
Other Operating Income					
TOTAL Operating income	**7254.0**	**8697.0**	***(16.6)***	**4521.2**	***60.4***
Stock Adjustment	889.6	-18.1	(5,018.6)	1458.6	(39.0)
Purchase of Finished Goods	2275.4	4311.7	(47.2)	1214.3	87.4
Total Raw Material Cost	**3165.0**	**4293.6**	***(26.3)***	**2672.9**	***18.4***
Employee Expenses	685.4	804.8	(14.8)	574.2	19.4
Rent and Other Operating Lease		586.1			
Other Expenses (incl Rent since Q1FY21)	1603.8	1277.2	25.6	1210.2	32.5
O. Exps not attributable to current qtr		0.0			
TOTAL EXPENDITURE	5454.2	6961.6	(21.7)	4457.3	22.4
EBITDA	**1799.9**	**1735.4**	***3.7***	**63.9**	***2,718.9***
Depreciation	578.1	579.0	(0.2)	578.2	(0.0)
Interest	605.6	592.7	2.2	582.5	4.0
PBT before Other Income & before Excep	**616.2**	**563.6**	***9.3***	**-1096.9**	***(156.2)***
Other Income	425.7	382.4	11.3	363.8	17.0
PBT Before Exceptional Items	1041.9	946.0	10.1	-733.1	(242.1)
Exceptional Items					
Reported PBT	**1041.9**	**946.0**	***10.1***	**-733.1**	***(242.1)***
Tax	245.3	388.6	(36.9)	**-252.2**	(197.3)
Tax Rate	0.2	0.4	(42.7)	0.3	(31.6)
Reported Profit After Tax	796.6	557.4	42.9	-480.9	(265.6)
Adjusted Profit After Extra-ordinary item and Excl Inc from Discountinued Operations	**796.6**	**557.4**	***42.9***	**-480.9**	***(265.6)***
Equity	**355.5**	**355.5**		**355.5**	
Face Value	1.0	1.0		1.0	
EPS (Unit Curr.) (on adjusted PAT)	2.2	1.6	***42.9***	-1.4	(265.6)
Reported EPS	2.2	1.6	***42.9***	-1.4	(265.6)
OPM	24.8%	20%		0.0	
NPM	10%	6%		-0.1	
% to Operating Income					
Total Raw Material Cost	43.6%	49.4%		59.1%	
Employee Expenses	9.4%	9.3%		12.7%	
Rent and Other Op Lease	0.0%	6.7%		0.0%	
Selling & Administrative Expenses	0.0%	0.0%		0.0%	
Other Expenses	22.1%	14.7%		26.8%	
TOTAL EXPENDITURE	75.2%	80.0%		98.6%	

Source: Dalal & Broacha Research, Company

Like for like recovery in Westside was 78%

Raw Material provision write back in Q3FY21 stood at Rs 140mn (Rs 400mn provision was done in Q1FY21).

PBT (excl other income) returns to +ve zone

Outlook and valuations

Outlook

Organized players have definitely gained in these difficult times due to scale and liquidity they could do faster ramp ups and get better sales.

- Trent's recovery was in-line with the rural centric player i.e. V-Mart despite good presence in Urban areas, metros and malls
- Management aggression towards store expansion returning to Pre-Covid levels with 50 stores already under Fit-out stage is a big positive.
- Grocery is on radar for the Tata group as a whole, hence we do feel that this is very positive for the Star-Bazaar platform.
- Trent's strong balance-sheet with Net Debt-free status (which has helped it pass through this difficult phase as well) and strong brand-presence across verticals aided with TATA-group's strong focus on consumer business are factors that would support its premium valuations.

Valuation

Trent according to us has a very sustainable business model with high growth potential, thus we believe the down-side from here is limited. Based on our SOTP valuation we arrive at a target price of Rs 727 and change our recommendation of "Buy on Dips" to Accumulate

Trent SOTP Method					
Segment	**Particulars**	**FY23**	**Metric**	**Multiple(X)**	**Value/ Per Share Contribution**
Wesiside + Zudio	PAT Standalone (Rs Mns)	4363	P/E	50	218133
Star Bazaar 50% JV	Sales (Rs Mns)	11325	P/Sales	1	11325
Zara Trents Share 49%	PAT (Rs Mns)	670	P/E	30	20111
Booker India 49%	Sales (Rs Mns)	5204	P/Sales	1	5204
Less: Debt (Rs Mns)					0
Add: Cash + Invest (Rs Mns) less Inv in Subs					3753
Total Value in Mns					**258526**
NO. of Shares (In Mns)					355
Value Per Share Rs					**727**
CMP					686
Upside					**6%**

Financial

STANDALONE

P&L (Rs mn)	FY19	FY20	FY21E	FY22E	FY23E
Net Sales	25,316.8	31,776.7	21,683.1	41,593.9	49,897.4
Cost of sales	(22,951.5)	(26,144.7)	(18,405.0)	(32,964.1)	(39,054.7)
Operating Profit	**2,365.3**	**5,632.0**	**3,278.2**	**8,629.8**	**10,842.7**
Depreciation	(464.7)	(2,311.2)	(2,509.6)	(2,896.9)	(3,307.1)
PBIT	1,900.6	3,320.8	768.6	5,732.9	7,535.7
Other income	363.0	1,517.6	866.5	943.3	783.9
Interest	(367.5)	(2,382.9)	(2,273.9)	(2,363.0)	(2,489.5)
Profit before tax	1,896.1	2,455.5	(638.8)	4,313.1	5,830.1
Exceptional and Extra Ordinary	(4.5)	(0.3)	-	-	-
PBT (Post Extra Ordinary)	1,891.6	2,455.3	(638.8)	4,313.1	5,830.1
Provision for tax	(616.7)	(909.4)	213.5	(1,085.6)	(1,467.4)
Reported PAT	**1,274.9**	**1,545.9**	**(425.2)**	**3,227.5**	**4,362.7**
MI	-	-	-	-	-
Adjusted PAT	**1,277.9**	**1,546.0**	**(425.2)**	**3,227.5**	**4,362.7**

Cash Flow St. (Rs. mn)	FY19	FY20	FY21E	FY22E	FY23E
Net Profit	1,274.9	1,545.9	(425.2)	3,227.5	4,362.7
Add: Dep. & Amort.	464.7	2,311.2	2,509.6	2,896.9	3,307.1
Cash profits	**1,739.6**	**3,857.1**	**2,084.4**	**6,124.4**	**7,669.7**
(Inc)/Dec in					
Sundry debtors	(10.7)	8.0	24.9	(66.1)	(34.9)
Inventories	(1,502.5)	(971.2)	2,088.9	(3,517.4)	(1,459.7)
Loans/advances	(560.9)	(503.2)	(521.0)	(776.5)	(1,049.1)
Current Liab and Provision	1,657.6	(268.1)	2,394.0	(832.2)	1,039.3
Change in working capital	(416.6)	(1,734.5)	3,986.8	(5,192.1)	(1,504.4)
CF from Oper. activities	**1,323.0**	**2,122.6**	**6,071.2**	**932.3**	**6,165.3**
CF from Inv. activities	**(603.3)**	**(28,261.1)**	**(1,158.8)**	**(2,477.4)**	**(5,342.1)**
CF from Fin. activities	**(513.4)**	**26,069.5**	**(2,652.4)**	**498.6**	**873.3**
Cash generated/(utilise	**206.3**	**(69.0)**	**2,259.9**	**(1,046.5)**	**1,696.5**
Cash at start of the year	303.2	509.5	440.5	2,700.4	1,653.9
Cash at end of the year	509.5	440.5	2,700.4	1,653.9	3,350.5

Balance Sheet	FY19	FY20	FY21E	FY22E	FY23E
Equity capital	332.3	355.5	355.5	355.5	355.5
Reserves	16,635.7	24,634.4	23,711.6	26,405.8	30,199.7
Net worth	**16,968.0**	**24,989.9**	**24,067.0**	**26,761.3**	**30,555.2**
Non Current Liabilites	3,143.2	24,696.9	23,190.7	24,246.5	25,706.9
Current Liabilites	5,494.7	4,264.1	6,658.1	5,802.1	6,823.0
CAPITAL EMPLOYED	**25,605.9**	**53,950.9**	**53,915.9**	**56,809.8**	**63,085.1**
Non Current Assets	16,040.6	36,768.4	37,988.7	39,573.3	41,612.4
Fixed Assets	7,121.7	26,413.9	26,985.6	28,566.1	30,601.1
Non Current Investments	8,809.3	9,268.5	9,268.5	9,268.5	9,268.5
Deferred Tax Asset	**71.8**	**1,069.5**	**1,718.2**	**1,718.2**	**1,718.2**
Long Term Loans and Advance:	37.7	16.4	16.4	20.5	24.6
Current Assets	9,565.3	17,182.5	15,927.2	17,236.5	21,472.7
Current investments	601.2	6,799.7	4,877.2	2,877.2	2,877.2
Inventories	4,894.0	5,865.2	3,776.3	7,293.7	8,753.4
Trade Receivables	141.3	133.3	108.4	174.5	209.4
Cash and Bank Balances	509.5	440.5	2,700.4	1,653.9	3,350.5
Short Term Loans and Advance	299.8	856.6	942.3	1,177.9	1,413.4
Other Current Assets	3,119.5	3,087.2	3,522.5	4,059.3	4,868.7
CAPITAL DEPLOYED	**25,605.9**	**53,950.9**	**53,915.9**	**56,809.8**	**63,085.1**

Ratios	FY19	FY20	FY21E	FY22E	FY23E
OPM	9.3	17.7	15.1	20.7	21.7
NPM	5.0	4.6	(1.9)	7.6	8.6
Tax rate	(32.5)	(37.0)	(33.4)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	22.5	25.5	(31.8)	91.8	20.0
Operating Profit	17.5	138.1	(41.8)	163.3	25.6
PBIT	19.0	74.7	(76.9)	645.9	31.4
PAT	9.5	21.0	(127.5)	(859.0)	35.2
Per Share (Rs.)					
Net Earnings (EPS)	3.8	4.3	(1.2)	9.1	12.3
Cash Earnings (CPS)	5.2	10.9	5.9	17.2	21.6
Dividend	1.3	1.0	1.5	1.6	1.6
Book Value	51.1	70.3	67.7	75.3	86.0
Free Cash Flow	2.2	(73.5)	13.8	(4.3)	2.3
Valuation Ratios					
P/E(x)	**178.4**	**157.7**	**(573.5)**	**75.6**	**55.9**
P/B(x)	13.4	9.8	10.1	9.1	8.0
EV/EBIDTA(x)	97.8	43.8	73.6	28.1	22.2
Div. Yield(%)	0.2	0.1	0.2	0.2	0.2
FCF Yield(%)	**0.3**	**(10.7)**	**2.0**	**(0.6)**	**0.3**
Return Ratios (%)					
ROE	7.5	6.2	(1.8)	12.1	14.3
ROCE	9.1	11.9	3.2	21.4	24.7

Source: Dalal & Broacha Research, Company

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